INTERNATIONAL MONETARY FUND

ARGENTINA

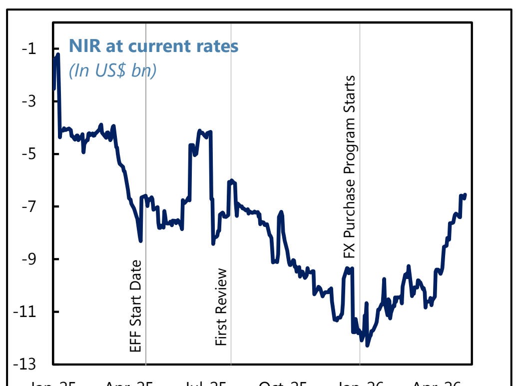
May 18, 2026

STAFF REPORT FOR THE 2026 ARTICLE IV CONSULTATION, SECOND REVIEW UNDER THE EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY, REQUESTS FOR A WAIVER OF NONOBSERVANCE OF A PERFORMANCE CRITERION, MODIFICATION OF PERFORMANCE CRITERIA, AND FINANCING ASSURANCES REVIEW—SUPPLEMENTARY INFORMATION

Prepared By Western Hemisphere Department

This supplement provides an update on developments since the issuance of the Staff Report (EBS/26/33) circulated to the Executive Board on May 8, 2026, and it does not alter the thrust of the staff report.

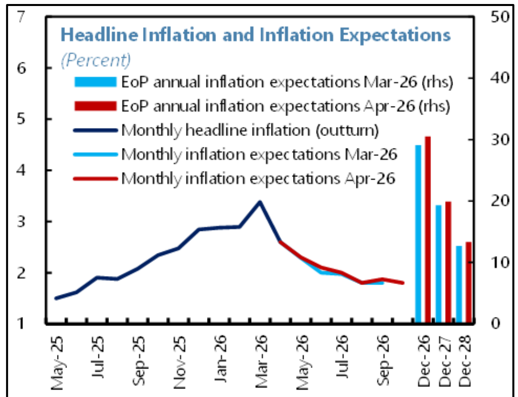
1. **Reserve accumulation efforts continue.** The BCRA has purchased around US$900 million thus far in May, bringing total purchases to US$8.2 billion year-to-date. The Treasury continues to place local-law FX bonds (*Bonares*), raising US$2.8 billion since their introduction earlier this year, including around US$500 million during last week's auction. In parallel, the authorities have advanced their privatization agenda, completing the sale of the electricity transmission operator *Transener* (US$365 million) and launching the tender for the water company *AySA* (expected to yield around US$500 million). Net international reserves are estimated at negative US$6.5 billion, an increase of about US$5 billion since end-2025 and the highest level since the completion of the first review. Sovereign spreads continue to hover around 500–525 basis points, while the exchange rate has remained broadly stable at around ARS/USD 1,400, with the upper bound of the band roughly 24 percent above the current level.



Sources: BCRA and Fund staff estimates.

2. **Disinflation has resumed, and high-frequency indicators point to an incipient recovery in activity.** Monthly headline inflation fell from 3.4 percent in March to 2.6 percent in April, with core inflation reaching 2.3 percent—its lowest reading since

November, suggesting limited second round effects from various supply side shocks. Twelve-months-ahead inflation expectations remain well anchored (at around 24 percent y/y) and consistent with a gradual disinflation process. Meanwhile, high-frequency indicators suggest a rebound in activity in March, driven by a strong recovery in construction and manufacturing, although performance remains uneven. The government recently awarded two sections of the national highways concession program, which is expected to support a further recovery in construction and employment going forward.



Sources: INDEC and BCRA.

3. Monetary operations and communication continue to be enhanced, alongside a strengthening of the central bank's balance sheet. In an effort to guide market expectations, the BCRA published the Q1:2026 Monetary Policy Report (*IPOM*) detailing the rationale behind the recent refinements to the monetary policy framework and operations (***prior actions***, see Staff Report ¶26), aimed at mitigating interest rate volatility, and near-term outlook for remonitization and inflation, against the backdrop of continued weakness in peso demand and credit. In addition, it published its 2025 financial statements, highlighting further improvements in the health of its balance sheet mainly reflecting the near elimination of remunerated central bank liabilities. As mandated by law, the BCRA transferred ARS 24.4 trillion (2.1 percent of GDP) of its profits to the Treasury, of which ARS 18.4 trillion were used by the Treasury to repurchase non-marketable government bonds (*Letras Intransferibles*)—further recapitalizing the central bank, with the remaining ARS 6 trillion—consisting solely of realized gains—deposited at the Treasury account at the BCRA.

4. Adherence to the fiscal anchor continues. The cumulative primary surplus (excluding privatization proceeds) reached 0.4 percent of GDP in April, in line with program fiscal targets, and despite a 7 percent cumulative y/y real decline in tax revenues. Moreover, the budget was amended to reduce spending by 0.2 percent of GDP to accommodate last year's Congressional spending initiatives, while energy tariff adjustments are proceeding.[1] The authorities are considering extending the Large Investment Incentive Regime (RIGI) to other sectors, including industrial processing, green energy, and high-tech activities. Discussions during the forthcoming review period will cover ensuring the proposals do not weaken the fiscal anchor nor the equity and efficiency of the tax system.

[1] Since the start of the Middle East war, local fuel prices have risen by about 25 percent. To mitigate the impact, the partially owned state oil company (YPF) raised fuel prices by around 1 percent in May and extended the price freeze buffer for an additional 45 days.